IN THE HIGH COURT OF JUSTICE
BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
COMMERCIAL COURT (KBD)

Claim No. CL-2025-000412

B E T W E E N :

BRACKEN GROUP PLC

Claimant

- and -

CALDERWOOD INDUSTRIES LIMITED

Defendant

PARTICULARS OF CLAIM

A. THE PARTIES

1. The Claimant, Bracken Group plc (the "Claimant"), is a public company incorporated in England and Wales under company number 04827193, whose registered office is at Bracken House, 8 Friar Lane, Leicester LE1 5RA. The Claimant designs, assembles and supplies industrial fluid-power and hydraulic systems, and operates a principal manufacturing facility at Carbrook, Sheffield (the "Sheffield Facility"), from which it manufactures its flagship pressure-control product line.

2. The Defendant, Calderwood Industries Limited (the "Defendant"), is a company incorporated in England and Wales under company number 06713244, whose registered office is at Calderwood Works, Brierfield Road, Burnley BB10 2QT. The Defendant carries on business as a manufacturer of hydraulic and fluid-power components, including pump assemblies of the type with which this claim is concerned.

B. THE SUPPLY AGREEMENT

3. By a written agreement dated 14 March 2023 made between the Claimant and the Defendant (the "Supply Agreement"), the Defendant agreed to manufacture and supply to the Claimant hydraulic pump assemblies of model HPX-440 (the "Assemblies") and associated components in accordance with the Claimant's rolling forecasts and individual call-off orders, over an initial term of 36 months commencing on 1 April 2023. The total anticipated contract value over the term was approximately £6,240,000.

4. The Supply Agreement comprised a set of master terms and conditions together with the technical specification referred to below, and was performed by the issue and acceptance of successive call-off orders. The Assemblies are a safety-critical component of the Claimant's finished products and are required to operate reliably at high sustained pressure.

5. The Supply Agreement contained, among others, the following express terms material to this claim:

   (a) by clause 3, the Claimant would provide rolling 12-week forecasts and place binding call-off orders, each of which the Defendant would acknowledge and fulfil;

(b) by clause 5.1, the Defendant was to deliver conforming Assemblies in accordance with the delivery dates specified in, and the quantities of, each accepted call-off order;

(c) by clause 5.4, time of delivery was of the essence of each call-off order;

(d) by clause 7.2, the Defendant warranted that all Assemblies would conform to the agreed specification (Specification SP-HPX-440 rev. C) and would be free from defects in design, materials and workmanship;

(e) by clause 7.4, the Defendant warranted that each Assembly would withstand a sustained operating pressure of not less than 410 bar;

(f) by clause 7.6, the Defendant would, at its own cost, promptly repair or replace any Assembly which failed to conform to the warranties in clause 7;

(g) by clause 12, any limitation upon the Defendant's liability was confined to indirect and consequential loss, the proper construction and effect of which the Claimant will address if and to the extent it is relied upon;

(h) by clause 14, the Supply Agreement was governed by English law and the parties submitted to the exclusive jurisdiction of the courts of England and Wales;

(i) by clause 18, the Supply Agreement constituted the entire agreement between the parties; and

(j) by clause 19, no variation of the Supply Agreement would be effective unless made in writing and signed by or on behalf of each of the parties.

6. Further, it was an implied term of the Supply Agreement, pursuant to sections 13 and 14 of the Sale of Goods Act 1979, that the Assemblies would correspond with their description, be of satisfactory quality, and be reasonably fit for the particular purpose made known to the Defendant, namely incorporation into the Claimant's high-pressure fluid-power products.

7. For the avoidance of doubt, and as the Defendant well knew, any purported variation of the Supply Agreement (including of the warranted operating pressure) was required by clause 19 to be recorded in writing and signed by or on behalf of both parties, and no such written and signed variation was ever made.

C. THE SPECIFICATION

8. Specification SP-HPX-440 rev. C, which formed part of the Supply Agreement, required (among other things) that each Assembly sustain a continuous operating pressure of not less than 410 bar without loss of pressure integrity and without seal failure, and that it pass the Claimant's standard incoming hydrostatic pressure test. The 410 bar requirement was central to the Claimant's application and was known by the Defendant to be so.

D. THE DEFENDANT'S BREACHES

Defective Assemblies

9. In breach of clauses 7.2 and 7.4 of the Supply Agreement and of the implied terms set out above, from on or about August 2024 the Defendant supplied Assemblies which were defective. The defects first manifested in batch B-2408 and continued in successive batches thereafter.

PARTICULARS OF DEFECT

(k) on incoming hydrostatic testing at the Sheffield Facility, Assemblies from batch B-2408 onwards failed to sustain 410 bar, a material proportion losing pressure integrity between 360 and 395 bar;

(l) the Assemblies exhibited premature extrusion and failure of the primary high-pressure seal under sustained load;

(m) a number of Assemblies showed evidence of out-of-tolerance machining of the seal land and bore, contrary to Specification SP-HPX-440 rev. C; and

(n) the rate of failure was such that the affected batches could not be incorporated into the Claimant's finished products without the risk of in-service failure.

10. The Claimant gave the Defendant written notice of the non-conformities by emails from its General Counsel, Mr Richard Calloway, to the Defendant's Managing Director, Mr Gerald Doyle, dated 21 August, 9 September and 3 October 2024. The Defendant failed to respond adequately and failed to repair or replace the non-conforming Assemblies as required by clause 7.6.

Late and non-delivery

11. Further, in breach of clause 5.1, and notwithstanding that time was of the essence, the Defendant repeatedly failed to deliver Assemblies by the dates specified in accepted call-off orders. Between September 2024 and February 2025 the Defendant was late in respect of 14 of 19 scheduled deliveries, and wholly failed to deliver against call-off orders CO-2024-188 and CO-2024-201. The relevant deliveries were as follows:

Call-off order	Required date	Qty	Actual delivery	Status
CO-2024-141	06/09/2024	12	19/09/2024	Late (8 days)
CO-2024-147	13/09/2024	12	27/09/2024	Late (7 days)
CO-2024-152	20/09/2024	8	01/10/2024	Late (6 days)
CO-2024-158	27/09/2024	12	27/09/2024	On time
CO-2024-163	04/10/2024	12	16/10/2024	Late (9 days)
CO-2024-169	11/10/2024	8	24/10/2024	Late (10 days)
CO-2024-174	18/10/2024	12	18/10/2024	On time
CO-2024-181	25/10/2024	12	07/11/2024	Late (10 days)
CO-2024-188	01/11/2024	16	—	Not delivered
CO-2024-194	08/11/2024	12	21/11/2024	Late (10 days)
CO-2024-201	15/11/2024	16	—	Not delivered
CO-2024-207	22/11/2024	12	05/12/2024	Late (10 days)
CO-2024-213	29/11/2024	8	29/11/2024	On time
CO-2024-219	06/12/2024	12	18/12/2024	Late (9 days)
CO-2024-225	13/12/2024	12	30/12/2024	Late (13 days)
CO-2025-004	10/01/2025	12	23/01/2025	Late (10 days)
CO-2025-010	17/01/2025	8	31/01/2025	Late (11 days)
CO-2025-016	24/01/2025	12	24/01/2025	On time
CO-2025-022	31/01/2025	12	14/02/2025	Late (10 days)

The cumulative effect of the late and non-deliveries was that the Claimant was unable to maintain output on its Sheffield line and was required to halt or curtail production on a number of occasions.

E. REPUDIATION AND TERMINATION

12. The Defendant's supply of defective Assemblies and its repeated and continuing delivery failures, whether taken individually or cumulatively, were breaches of condition and/or went to the root of the Supply Agreement, and deprived the Claimant of substantially the whole of the benefit which it was intended to obtain under it. The said breaches amounted to a repudiation of the Supply Agreement by the Defendant.

13. By letter dated 28 February 2025 the Claimant accepted the Defendant's repudiation and terminated the Supply Agreement with immediate effect. Further or in the alternative, the Claimant was entitled to and did terminate the Supply Agreement pursuant to its express terms by reason of the Defendant's persistent and material breaches.

F. CAUSATION, LOSS AND DAMAGE

14. By reason of the matters aforesaid the Claimant has suffered loss and damage. Full particulars are set out in the Schedule of Loss served herewith, the principal heads of which are as follows.

15. Cost of cover: the Claimant was obliged to procure replacement Assemblies meeting Specification SP-HPX-440 rev. C from an alternative manufacturer, Marlin Hydraulics Ltd, at a materially higher unit price. The additional cost of cover, calculated as the difference between the price payable to Marlin Hydraulics Ltd and the price that would have been payable to the Defendant, multiplied by the relevant volume, is **£1,450,000**.

16. Loss of profit: by reason of the production downtime caused by the Defendant's non-conforming and late deliveries, the Claimant lost the contribution it would otherwise have earned on finished units which it was unable to produce and sell between September 2024 and February 2025, in the sum of **£2,100,000** (which the Claimant will support by expert accountancy evidence).

17. Wasted expenditure: the Claimant incurred additional inspection, rework, quarantine and abortive handling costs on the non-conforming batches from B-2408 onwards, in the sum of **£250,000**.

18. The total of the said heads of loss is £3,800,000, as more particularly set out in the Schedule of Loss.

19. The Claimant is further entitled to and claims interest on the sums found due pursuant to section 35A of the Senior Courts Act 1981 at such rate and for such period as the Court thinks fit.

AND the Claimant claims:

(a) Damages in the sum of £3,800,000;

(b) Interest pursuant to section 35A of the Senior Courts Act 1981 at such rate and for such period as the Court thinks fit;

(c) Costs; and

(d) Further or other relief.

STATEMENT OF TRUTH

The Claimant believes that the facts stated in these Particulars of Claim are true. I understand that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed: .....

Sarah Whitfield

Partner, Whitfield Carter LLP — Solicitors for the Claimant

Dated: 28 October 2025

Whitfield Carter LLP, 22 Bishopsgate, London EC2N 4BQ — Solicitors for the Claimant.